

INTRODUCTION

Performance Appraisal is the systematic evaluation of the performance of employees and to understand the abilities of a person for further growth and development. Performance appraisal is generally done in systematic ways which are as follows:

1. The supervisors measure the pay of employees and compare it with targets and plans.
2. The supervisor analyses the factors behind work performances of employees.
3. The employers are in position to guide the employees, for a better performance.

MEANING OF PERFORMANCE APPRIASAL

Performance appraisals are the assessment of individual's performance in a systematic way. It is a development tool used for all round development of the employee and the organization. The performance is measured against such factors as job knowledge, quality and quantity of output, initiative, leadership abilities, supervision, dependability, co-operation, judgment, versatility and health. Assessment should be confined to past as well as potential performance also. The second definitions more focused on behaviors as a part of assessment because behaviors do affect job results.

DEFINITION OF PERFORMANCE APPRAISAL

"It is formal, structured system of measuring, evaluating job related behaviors and outcomes to discover reasons of performance and how to perform effectively in figure so that employee, organization and society all benefits." "It is a systematic evaluation of an individual with respect to performance on the job and individual's potential for development" Uses of Performance Appraisal For many organizations, the primary goal of an appraisal system is to improve individual and organizational performance. There may be other goals, however. A potential problem with PA, and a possible cause of much dissatisfaction, is expecting too much from one appraisal plan. For example, a plan that is effective for developing employees may not be the best for determining pay increases. Yet a properly designed system can help achieve organizational objectives and enhance employee

On the other hand career development is a formal approach used by the organization to ensure that people with the proper qualifications and experiences are available when needed. Performance appraisal data is essential in assessing an employee's strengths and weaknesses and in determining the Person's potential. Managers may use such information to counsel subordinates and assist them in developing and implementing their career plans. Compensation Programs Performance appraisal results provide a basis for rational decisions regarding pay adjustments. Most managers believe that you should reward outstanding job performance tangibly with pay increases. They believe that the behaviors you reward are the behaviors you get. Rewarding behaviors necessary for accomplishing organizational objectives is at the heart of a firm's strategic plan. To

encourage good performance, a firm should design and implement a reliable performance appraisal system and then reward the most productive workers and terms accordingly. Internal Employee Relations Performance appraisal data are also used for decisions in several areas of internal employee relations, including promotion, demotion, termination, layoff and transfer. For example, an employee's performance in one job may be useful in determining his or her ability to perform another job on the same level, as is required in the consideration of transfers. When the performance level is unacceptable, demotion or even termination may be appropriate.

Assessment of Employee Potential Some organizations attempt to assess an employee's potential as they appraise his or her job performance. Although past behavior, maybe good predictor of future behaviors in some jobs an employee's past performance may not accurately indicate future performance in other jobs. The bit salesperson in the company may not have what it takes to become a successful district sales manager where the tasks are distinctly different. Similarly, the best systems analyst may, if promoted, be a disaster as an information technology manager. Overemphasizing technical skills and ignoring other equally important skills is a common error in promoting employees into management jobs. Recognition of this problem has led some firms to separate the appraisal of performance, which focuses on past behavior, from the assessment of potential, which is future-oriented.

USES OF PERFORMANCE APPRAISAL For many organizations, the primary goal of an appraisal system is to improve individual and organizational performance. There may be other goals, however. A potential problem with PA and a possible cause of much dissatisfaction, is expecting too much from one appraisal plan. For example, a plan that is effective for developing employees may not be the best for determining pay increases. Yet a properly designed system can help achieve organizational objectives and enhance employee

performance. In fact, PA data are potentially valuable for virtually every human resource functional area.

Human Resource Planning In assessing a firm's human resources, data must be available to identify those who have the potential to be promoted or for any area of internal employee relations. Through performance appraisal it may be discovered that there is an insufficient number of workers who are prepared to enter management. Plans can then be made for greater emphasis on management development. Succession planning (discussed previously in Chapter 4) is a key concern for all firms. A well-designed appraisal system provides a profile of the organization's human resource strengths and weaknesses to support this effort.

Recruitment and Selection Performance evaluation ratings may be helpful in predicting the performance of job applicants. For example, it may be determined that a firm's successful employees (identified through performance evaluations) exhibit certain behavior when performing key tasks. These data may then provide benchmarks for evaluating applicant responses obtained through behavioral interviews discussed in Chapter 6. Also, in validating Section tests, employee ratings may be used as the variable against which test scores are combed. In this instance, determination of the selection test's validity would depend on the accuracy of appraisal results.

Training and Development Performance appraisal should point out an employee's specific needs for training and development. For instance, if Pat Compton's job requires skill in technical writing and her evaluation reveals a deficiency in this factor she may need additional training in written communication. If a firm finds that a number of first line supervisors are having difficulty in administering disciplinary action, training sessions addressing this problem may be

appropriate. By identifying deficiencies that adversely affect performance, T&D programs can be developed that permit individuals to build on their strengths and minimize their deficiencies. An appraisal system does not guarantee properly trained and developed employees. However, determining T&D needs is more precise when appraisal data are available. Career Planning and Development As discussed in the appendix to Chapter-7, career planning is an ongoing process whereby an individual sets career goals and identifies the means to achieve them.

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OBJECTIVES OF PERFORMANCE APPRAISAL Performance Appraisal can be done with following objectives in mind:

- To maintain records in order to determine compensation packages, wage structure salaries raises, etc.
- To identify the strengths and weaknesses of employees to place right men on right job.
- To maintain and assess the potential present in a person for further growth and development.
- To provide a feedback to employees regarding their performance and related status.
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- It serves as a basis for influencing working habits of the employees.
- To review and retain the promotional and other training programmes.

TECHNIQUES OF PERFORMANCE APPRAISAL

Numerous methods have been devised to measure the quantity and quality of performance appraisals. Each of the methods is effective for some purposes for some organizations only. None should be dismissed or accepted as appropriate except as they

relate to the particular needs of the organization or an employee. Broadly all methods of appraisals can be divided into two different categories.

- i) Traditional Methods
- ii) Modern Methods

TRADITIONAL METHODS:

1. Ranking Methods:

Superior ranks his worker based on merit, from best to worst. However how best and why best are not elaborated in this method. It is easy to administer and explanation.

2. Paired Comparison Methods: In this employee is rated with another employee in the form of pairs. The number of comparisons may be calculated with the help of a formula as under, $N \times (N-1) / 2$

3. Grading Methods: In this method, certain categories of worth are established in advance and carefully defined. There can be three categories established for employees- outstanding, satisfactory, and unsatisfactory. There can be more than three. Employee performance is compared with grade definitions. The employee is then allocated to the grade the best describes his or her performance. Such type of grading is done in semester pattern of examinations and in the selection of a candidate in the public service sector. One of the major drawback of this method is that the rater marks the employee on the higher side of their performance.

4. Forced distribution methods: Here employees are clustered around a high point on a rating scale. Rater is compelled to distribute the employees on all points on the scale. It is assumed that the performance is conformed to normal distribution. Advantages - Eliminates Disadvantages - Assumption of normal distribution. Unrealistic, error of central tendency.

5. Forced Choice Methods: The series of statements arranged in the blocks of two or more are given and the rater indicates which statement is true or false. The rater is forced to make a choice. HR department does actual assessment. Advantages - Absence of personal biases because of forced choice. Disadvantages - Statements may be wrongly framed.

6. Checklist Methods : Under this method, checklist of statements of traits of employee in the form of Yes or No based questions is prepared. Here the rater only does the reporting or checking and HR department does the actual evaluation. Advantages - economy, ease of administration, limited training

required standardization. Disadvantages - Raters biases, use of improper weights by HR does not allow rater to give relative ratings.

7. Critical Incident Method: The approach is focused on certain critical behaviors of employee that makes all the difference in the performance. Supervisors as and when they occur record such incidents. Advantages - Evaluations are based on actual job behaviors ratings are supported by descriptions, feedback is easy, reduces Recency biases chances of subordinate improvement are high. Disadvantages - Negative incidents can be prioritized, forgetting incidents, overly close supervision; feedback may be too much and may appear to be punishment.

8. Graphic Rating Scales Methods: Rating scales consists of several numerical scales representing jubilated performance criterions such as dependability, initiative, output,

attendance attitude etc. Each scales ranges from excellent to poor. The total numerical scores Computed and final conclusions are derived. Advantages - Adaptability, easy to use lowcost, every type of job can be evaluated, large number of employees covered, no formal training required. Disadvantages - Rater's biases.

9. Essay Method: In this method the rater writes down the employee's description in detail within a number of broad categories like, overall impression of performance, promote ability of employee, existing capabilities and qualifications of performing jobs, strengths and weakness and training needs of the employee. Advantage - It is extremely useful in filling information gaps about the employees that often occur in a better-structured checklist. Disadvantages - it is highly dependent upon the writing skills of rather and most of them are not good writers. They may get confused success depends on the memory power of raters.

10. Field Review Method: This is an appraisal done by someone outside employees own department usually from corporate or HR department. Advantages - useful for managerial level promotions, when comparable information is needed Disadvantages- Outsider is generally not familiar with employees work environment, Observation of actual behaviors not possible.

11. Confidential Reports: Mostly used by government departments, however its application in industry is not ruled out. Here the report is given in the form of Annual Confidentiality Report (ACR) and may record ratings with respect to

following items; attendance, sett expression, team work, leadership, initiative, technical ability, reasoning ability, originality and resourcefulness etc. The systems highly secretive and confidential. Feedback to the assessee is given only in case of an adverse entry. Disadvantage is that it is highly subjective and ratings can be maculated because the evaluations are linked to HR actions like promotions etc.

MODERN METHODS:

1. Management by Objectives: It means management by objectives and the performance is rated against the achievement of objectives stated by the management. MBO process goes as under. • Establish goals and desired outcomes for each subordinate • Setting performance standards • Comparison of actual goals with goals attained by the employee • Establish new goals and new strategies for goals not achieved in previous year. Advantage - It is more useful for managerial positions. Disadvantages - Not applicable to all jobs, allocation of merit pay may result in setting short-term o0als important and long-term goals etc.

2. Behaviorally Anchored Rating Scales: statements of effective and ineffective behaviors determine the points. They are said to be behaviorally anchored. The rater is supposed to say, which behavior describes the employee performance. Advantages - helps overcome rating errors. Disadvantages - Suffers from distortions inherent in most rating techniques.

3. Assessment Centers: This technique was first developed in USA and UK in 1943. An assessment center is a central location where managers may come together to have their participation in job related exercises evaluated by trained observers. It is more focused on observation of behaviors across a series of select exercises or work samples. Assesses are requested to participate in in-basket exercises, work groups, computer simulations, role playing and other similar activities which require same attributes for successful performance in actual job. The characteristics assessed in assessment center can be assertiveness, persuasive ability, communicating ability, planning and

organizational ability, self-confidence, resistance to stress, energy level, decision making, sensitivity to feelings, administrative

ability, creativity and mental alertness etc. Disadvantages - Costs of employees traveling and lodging, psychologists, ratings strongly influenced by assesses interpersonal skills. Solid performers may feel suffocated in simulated situations. Those who are not selected for this also may get affected. Advantages - well-conducted assessment center can achieve better forecasts of future performance and progress than other methods of appraisals. Also reliability, content validity and predictive ability are said to be high in assessment centers. The tests also make sure that the wrong people are not hired or promoted. Finally it clearly defines the criteria for selection and promotion.

4. 360 Degree Feedback: It is a technique which is systematic collection of performance data on an individual group derived from a number of stakeholders like immediate supervisors, team members, customers, peers and self. In fact anyone who has useful information on how an employee does a job may be one of the appraisers. This technique is highly useful in terms of broader perspective, greater self-development and multisource feedback from is useful 360 degree appraisals are useful to measure interpersonal skills, customer satisfaction and team building skills. However on the negative side, receiving feedback from multiple sources can be intimidating, threatening etc. Multiple raters may be less adept at providing balanced and objective feedback.

5. Cost Accounting Method: Here performance is evaluated from the monetary returns Yields to his or her organization. Cost to keep employee and benefit the organization derives is ascertain Hence it is more depended upon cost and benefit analysis.

INTRODUCTION:

Induction means the introduction of newly appointed employees and to the organization by providing him relevant information so that he may not experience any difficulty in discharging his duties and responsibilities properly and effectively.

Induction is considered as an important part of a company's human resource practices. Many aspects should be addressed when discussing the importance and objectives of an induction process. Induction can be defined as the process and support provided by the organization in order to help a new employee to learn to know the new organization and its members as well as the expectations and tasks of the job.

Employee retention and knowledge management is increasingly becoming the watch word of HR professionals. The process towards successful implementation of a knowledge management process and retention policy starts right from the moment the employee enters an organization. An induction program is one of the first and primary components of the process. (Foot and Hook (1999) presents induction as an important aspect of employee retention as it is the first process that the new employee faces and the way it is managed often reflects the values of a company. Paying special attention to the first impression made by the company will make the new employee feel valued and expected. With employee turnover being high, especially in the knowledge industry the importance of induction cannot be felt more now than ever. Ingersoll and Smith (2004) rightly put it as a support, guidance and orientation program for a new entrant. Many organizations though, consider it as just another formality and fail to understand the long term riches that it could yield. The effects of a good induction program needs to be analyzed not immediately but after a lapse of sufficient period.

Induction Defined: Induction is "a formal introduction to a new job or position: [example of use:] an induction course". (www.oxforddictionaries.com, 2010) An alternative definition of induction is "the process of receiving and welcoming employees when they first join a company and giving them the basic information, they need to settle down quickly and happily and start work". (Armstrong, 2003: 453) It is important to ensure that HR team is aware of their organization's induction process before new employees start. By inducting the employees properly HR will find that new employees contribute more effectively to your team.

Objectives of the Induction

Induction serves the following purposes

Removes fears, Creates a good impression, Acts as a valuable source of information:
Induction Programme steps:

Contents :The topics covered in employee induction programme may be stated thus:

Induction Programme: topics

1) Organizational issues

- History of company • Names and titles of key executives • Employees title and department • Layout of physical facilities. • Products/services offered • Probationary period. • Overview of production process • Company policies and rules • Employees handbook • Disciplinary procedures • Safety steps

2) Employee benefits.

- Pay scales, pay days • Vacations, holidays • Training avenues • Rest pauses • Counseling • Insurance, medical, recreation, retirement benefits

3) Introductions

- To trainers • To supervisors • To employee counselor • To co-workers

4. Job duties

- Job location • Job tasks • Overview of jobs • Job objectives • job safety needs • Relationship with other jobs

b). Socialization: Socialization is a process through which a new recruit begins to understand and accept the values, norms and beliefs hold by others in the organization. HR department representatives help new recruits to "internalize the way things are done in the organization". Orientation helps the newcomers to interact freely with employees working at various levels and learn behaviors that are acceptable. Through such formal and informal interaction and discussion, newcomers begin to understand how the department/company is run, who holds power and who does not, who is politically active within the department, how to behave in the company, what is expected of them etc. In short, if the new recruits wish to survive and prosper in their new work home, they must soon come to 'know the ropes'. Orientation programmes are effective socializations tools because they help the employees to learn about the job and perform things in a desired way.

THE PURPOSE OF INDUCTION is to provide necessary information, resources and motivation to assist a staff member to adjust to a new work environment and to encourage the development of loyalty and enthusiasm towards the organization. Induction is a time of change and adjustment to a new culture and environment, which presents exciting opportunities and challenges.